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Going Beyond Payments Compliance

How to unlock the full potential of ISO 20022 in the evolving
paytech ecosystem



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01. Executive Summary

The evolution of the global payments industry has been shaped by technical advancements, changing customer needs and regulations.

Progress has been rapid but it has also been fragmented, producing many different payment types and data formats. Regulatory bodies around the world acknowledge the need for a global standard to streamline and simplify payment flows and to recognize the growing importance of data in transactions.

The ISO 20022 standard is a new dawn for global payments, replacing a host of legacy standards most notably the SWIFT Message Type for cross-border payments. Many major payment schemes, banks and payments providers have already adopted the new standard, which has been designed to replace the older, less flexible formats. Those that have not must do so soon because the compliance deadline for cross-border payments is November 2025.

This paper considers the essential mechanics and challenges of the new standard and the role modern technologies – such as GenAI – can

play in achieving and maintaining compliance. More importantly the paper discusses how banks can seize ISO 20022 as an opportunity to transform and improve business processes and procedures. In our experience the new standard offers a unique opportunity to adopt modern methods and technologies and build a better bank that is more agile, robust and future proof.

The digital age is one of competition but also one of collaboration and partnership. Banks need systems and technologies that allow data to be shared to boost innovation and create customer value through joint endeavor. And they need expert technical partners to help them succeed in this new dynamic ecosystem.

GFT works with many of the world's top banks and financial institutions. We have completed many successful payments projects, including ISO 20022 compliance and associated business transformations.

02.

Introduction

The global payments industry is evolving at a blistering pace. What was once seen as a utility is now recognized as a major point of brand engagement and an opportunity to create value.

Drivers include:

- **Rising expectations:** Demand for instant, seamless, and digital payments
- **Technical innovation:** Mobile, AI, cloud, APIs, and DLT
- **Regulatory push:** Mandates for real-time payments, AML, and standardization (for example ISO 20022)
- **Fintech disruption:** New players and embedded finance increasing competition and specialized solutions
- **Globalized commerce:** Need for efficient cross-border payments in an interconnected world.

The evolution of the payment space is a dynamic interplay between market demand for better, faster, and cheaper payments, enabled by technological innovation, and shaped by regulatory efforts to ensure safety, efficiency, and fairness. In practice, every payment is part of a bigger story and marks the end of a customer journey. All transactions end with a payment so payments are central to commercial life.

The digital age has put payments in the spotlight. The proliferation of ecommerce and mobile channels have meant that real-time has become the baseline of payments success. Business is catching up fast and real-time payments are driving innovation in many areas, especially treasury. The global banking industry has woken up to the need for speed but adoption of real-time is fragmented.

From a consumer's perspective payment convenience and immediacy are paramount. From a payment provider's perspective, payment has become a focal point for innovation. All payment providers acknowledge the need for payment convenience, but they also recognize the opportunity to add value with new services, such as loyalty schemes or insurance. A modern data platform is essential to provide these services, but it is also crucial to support new instruments, such as central bank digital currencies (CBDCs), instant payments, and to improve fraud prevention.

ISO 20022 – more than a standard

Regulators around the globe acknowledge the need for innovation and new banking rules have encouraged non-banks into the payments arena to foster a modern fintech approach to payments. The Bank for International Settlements (BIS) has a mandate to promote harmonization of ISO 20022 data requirements for cross-border payments with a target of global adoption by 2027.

ISO 20022 has become the de facto industry standard for payments, securities trading and settlement information. The new standard recognizes the critical role of data and delivers a range of benefits to all parties.

Many major banks and payments schemes have already migrated to ISO 20022, including the Bank of England's CHAPS and RTGS schemes, but many commercial banks are racing to keep up. Swift has made it clear that all payment market infrastructures of major currencies must adopt the ISO 20022 standard for cross-border payments by November 2025, so for many banks the clock is ticking.

This paper considers the benefits of the new standard, some of the major challenges, and the role that AI can play in payments modernization and in meeting the ISO 20022 deadline.



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ISO 2022 – a new future for global payments

ISO 2022 offers many sustainable benefits to all parties in the payments value chain. These include:

Richer data

More structured and detailed data can be included in payment messages, providing a richer, more standardized set of information, offering greater accuracy and more transparency.

A global standard

Improves interoperability and efficiency of financial systems and institutions worldwide, reducing friction and costs of international transactions.

Future-proofing payments

The new standard can be adapted to new technologies and will support payments innovation, including new instruments, such as crypto, instant and mobile payments.

Enhanced security

ISO 2022 facilitates improved security in the transmission of payment data, making it easier to implement secure authentication and better fraud detection.

Cost savings

ISO2022 reduces errors and the need for manual processing, while many banks will also be able to consolidate multiple legacy systems into a single platform.

Enhanced customer experience

The facility to include richer data allows for more detailed information to be provided to/from payer and payee. This is particularly useful for cross-border payments.

All these benefits are available to financial institutions, businesses and consumers, however, for many banks – particularly those with legacy systems – the comprehensive nature of the migration is a major challenge.



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03.

ISO 20022 – A Data and Technology Challenge

Many ISO 20022 challenges are perceived as being related to data and technology, but there are also significant concerns around business processes and adoption.

Barriers to a smooth integration include: **Data migration**

Legacy systems

Most payment architectures have evolved over decades, and payments come in multiple formats, with the problem often being compounded by multiple geographies and payment types. One of the prime objectives of ISO 20022 is to streamline and standardize payment flows.

With their legacy systems and outmoded business processes, many banks must modernize to meet the new standard. This may require substantial investment and takes time, which they can ill afford with the looming deadline.

Integration challenge

Integrating ISO 20022 is about more than data and technology – it requires process reengineering. In many cases there are multiple parties involved so integration can be complex.

Data mapping

The essence of ISO 20022 is that it introduces richer, more structured data than legacy formats, such as SWIFT MT messages. Many banks will have to map legacy formats to the new format which can pose a significant challenge, requiring detailed analysis to ensure data integrity.

Many banks must migrate large volumes of historical data to the new format. Maintaining consistency and preventing data loss or corruption is crucial and many existing processes must be updated to maintain data integrity.

A global initiative

ISO 20022 adoption varies by region, with some countries and financial institutions adopting it faster than others. The lack of universal adoption can create challenges in ensuring cross-border interoperability, as different countries may still rely on legacy systems or have different timelines for implementation. If the global adoption rate is uneven, it could lead to delays or errors in cross-border payments.

Migrating to ISO 20022 is both a challenge and an opportunity. For many banks, partnership is essential to mitigate risk and meet the migration deadline. But, with the right partner, banks can maximize the unique opportunity the new standard offers.

04.

GFT – The Ideal Payments Partner

GFT has unmatched experience in the payments business and supporting technologies. We have helped a number of major banks transform their payments infrastructures and can offer a progressive migration to ISO 20022 driven by business benefits.

Recent successes include:

- Integration of two Asian banks using FIS payment hub solution
- Migration of a tier 1 investment bank from a brand-named payments hub to a GFT custom-built solution to promote innovation
- Implementation of a payments platform for a UK bank using ISO 20022 messaging

In each of the above solutions we built critical components, including:

- Outbound and Inbound payments and peer-to-peer (P2P) payments
- Pay to account, pay to proxy and QR code payments
- Intra and inter banks transfers (SWIFT/ACH)
- Limit management

Where possible our payment solutions employ reusable libraries and carefully designed cloud and microservices architectures to achieve better scalability, availability and improved performance.

A structured migration to ISO 20022

Our proven methods and technologies can offer a smooth migration to ISO 20022 to meet the pressing deadline. The GFT approach is highly consultative, and our structured methodology encompasses five stages that may be progressed in series or parallel.

1. Business analysis

Understand the scope and impact of ISO 20022 on the organization and prepare a detailed backlog for new message formats.

2. Governance model

Develop a management model that acknowledges interdepartmental dependencies, facilitates cooperation and defines roles and responsibilities.

3. Architecture

Analyze current architecture and proposal of a target microservices architecture for systems pertaining to ISO 20022, to reduce technical debt and implement an evergreen solution.

4. Software development

Implement new message formats for required systems and deliver an architecture to accommodate the new message formats.

5. Testing strategy

Prepare a comprehensive testing strategy for payment systems, involving test automation and reporting.

6. Production readiness

Ensure a smooth rollout to customers and transition to self-sufficient operation when required.



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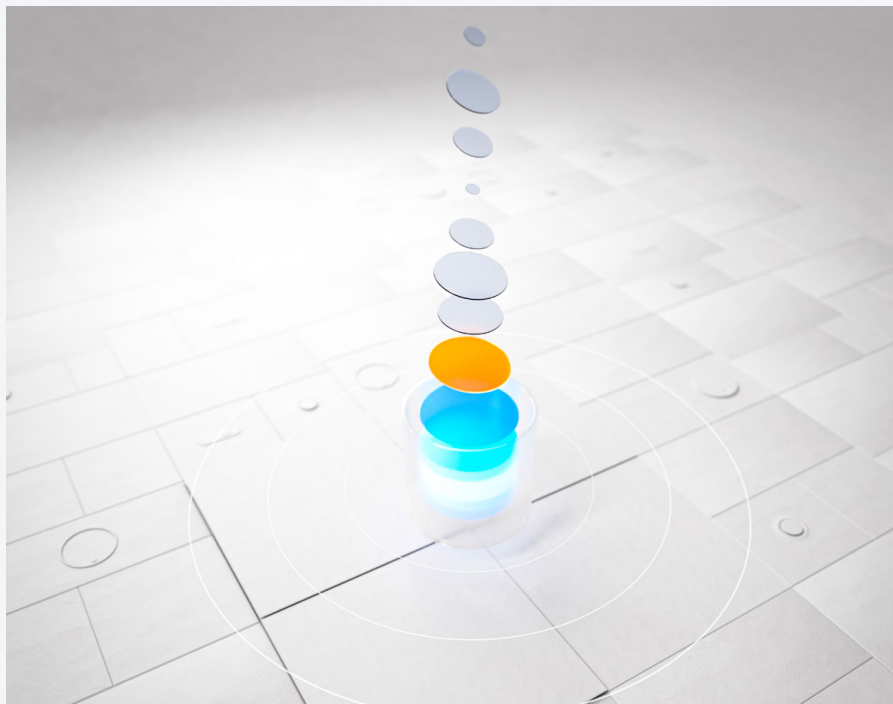
Automate to adapt to ISO 20022

For many banks ISO 20022 is an opportunity to review and transform how work gets done. In practice many legacy payment infrastructures and supporting business processes have evolved over decades. Given the tight timescales, it can be tempting for financial institutions to take a more tactical, compliance driven approach, limiting the change to the translation of formats in the periphery of their legacy systems, without really leveraging the true benefits of the new standard. GFT can help banks to follow a strategic approach to progressive payments modernization with quantifiable benefits along the way.

Our approach acknowledges that business transformation is about much more than technology and involves people, processes and procedures. We believe that a consultative approach is essential to ensure that a migration delivers on its promise.

From the outset, technology can play a pivotal role in payments transformation. GFT is an AI-centric company, and we know that GenAI can help an organization gain a deeper understanding of its data, formats and data processing flows. This is particularly relevant for any bank with a fragmented payments infrastructure, which often accompanies a growth through acquisitions strategy.

Most importantly, using the right technologies enables data and formats to be understood quickly and cost effectively, with minimal impact on the implementation timetable. With a compressed overview of its data and processing architecture, a bank can consider its mapping and implementation options and align these to specific business opportunities. This is particularly relevant as payments evolves into an open, innovative ecosystem where banks can play several roles. To succeed in this new world, every bank needs a flexible, well understood architecture.



How AI can help manage ISO 20022 payment flows

Banks are waking up to the transformational power of AI with new use cases emerging continually. Recent research¹ by the Bank of England suggests that 75% of firms have adopted AI with a further 10% planning to use it within the next three years.

Banks can leverage AI to accelerate their migration to ISO 20022, whilst reducing the costs and mitigating the operational risks:

Data mapping and transformation

Automate mapping: GenAI can analyze legacy messages and map them to the corresponding ISO 20022 format

Data enrichment: GenAI can fill in missing fields by intelligently inferring data based on historical transactions.

Validation and cleansing: GenAI can look for data inconsistencies, incomplete data and suggest corrections.

Testing and simulation

Automated Test Case Generation:

GenAI can create test scenarios covering different transaction types, edge cases, and error-handling mechanisms.

Message Validation: GenAI can validate ISO 20022 messages against the standard schema and business rules before deployment.

Simulated Transaction Processing:

GenAI-driven testing environments can mimic real-world transaction flows to ensure smooth implementation.

Compliance and risk management

Regulatory Compliance Checks: GenAI can continuously monitor messages for compliance with ISO 20022 guidelines and other regulatory frameworks such as anti-money laundering (AML).

Fraud Detection: GenAI can analyze transaction patterns and flag suspicious activity in real time.

1. <https://www.bankofengland.co.uk/report/2024/artificial-intelligence-in-uk-financial-services-2024>

05.

Wynxx – A New Approach to Software Development

Wynxx is GFT's AI-driven platform that is designed to accelerate the software development lifecycle (SDLC).



By maximizing the potential of the most advanced LLMs, it accelerates every stage of the SDLC, from the creation of user stories with automated estimates through to functional testing and bug fixing. Wynxx optimizes crucial workflows, such as code review, correction and unit testing to maximize efficiency. It also helps document, understand and transform legacy code.

As a flexible platform, Wynxx can complement existing code assistants and become a standardization tool to ensure compliance, quality, and integration across the entire SDLC. It offers an ideal tool to include in a payments modernization project, offering an API-first approach for pipelines and automation. The platform combines flexibility with scalability and can be integrated into large-scale payments projects with high volume throughputs.

Wynxx can also be adapted and integrated into custom workflows to increase automation and provide deep integration at scale. GFT clients that have incorporated Wynxx into their SDLC strategy have enjoyed a 90% acceleration in story creation and a 95% reduction in the time required to test and fix code.



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06.

Success Story

Reducing payment complexity with ISO20022

For this banking giant, ISO 20022 was both a challenge and an opportunity. As a global player it managed multiple payments in many formats. The challenge was compounded by a monolithic legacy mainframe architecture that had evolved over decades.

Faced with a looming deadline, the bank entrusted GFT to lead its ISO 20022 project, beginning with an overview of the new standard, implementation options and a realistic timeline.

A consultative approach

GFT assembled an expert team to provide comprehensive training on ISO 20022 and established a knowledge hub to answer questions. All existing message standards were evaluated and mapped to the new standard, for example Pain.001 format for credit transfers and Pain.002 for payment status reports.

In parallel, GFT consulted with the bank to assess and build the supporting data model to create and support the new messages. Although ISO 20022 is a standard there are many options to consider. This bank chose to align its payments implementation with its business strategy, by building an internal payments hub. As well as ensuring compliance this provided flexibility to participate in the expanding payments ecosystem.

Going beyond compliance

GFT defined and delivered a minimum viable product for the bank to meet its ISO 20022 compliance obligation on time and within budget. However, the consultation process revealed many new opportunities to boost efficiency, reduce costs and add value to payments data.

In practice the bank has seized ISO 20022 as an opportunity to begin an incremental core transform.



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07. Conclusion

For smart banks, ISO 20022 is much more than a compliance obligation. It is a unique opportunity to explore new ways to create value and to transform how work gets done. Working with the right partner is crucial to building a better payments landscape, that is more agile and future-proof.

GFT has helped many of the world's top financial institutions to reap the benefits of the digital age. We offer a unique combination of technical knowledge with practical expertise to deliver a sustainable improvement to business performance.

Discover how we can help you seize the ISO 20022 opportunity:
gft.com

GFT expert



**Francisco
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Client Solutions Director



Francisco is a Clients Solution Director and has 20+ years' experience in designing and delivering technology transformation for banks of all sizes and across a wide range of segments and geographies, including complex integrations, migrations and implementation of next generation core banking and payment platforms. He has held CTO / Head of Technology roles at banking and payments entities within a tier 1 bank.



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Francisco is based in Spain and is Delivery Director in the Banking sector. He leads the Core Banking Center of Excellence for South and Western Europe. 25+ years of experience in managing large IT programs and projects for Financial Services (Retail Banking, Corporate Banking, Capital Markets). Global Delivery Management experience in International clients such as BBVA, Deutsche Bank, Santander.

GFT is a global technology partner focused on digital transformation across the financial services sector. Founded in 1987, we have over 12,000 specialists in 20+ markets.

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